



United States
Attorney's Office
District of New Jersey



Five New Jersey Pharmacies Agree to Pay \$1.935 Million to Resolve False Claims Act Allegations of Billing for Drugs Not Dispensed

Wednesday, May 28, 2025

For Immediate Release

U.S. Attorney's Office, District of New Jersey

NEWARK, N.J. – Five pharmacies located in Jersey City, Bayonne, and Elizabeth have agreed to pay \$1,935,000 to resolve allegations that they violated the False Claims Act by knowingly billing federal health care programs for medications that they never dispensed, U.S. Attorney Alina Habba announced today.

According to the contentions of the United States in the settlement agreements, inventory records showed that the below listed pharmacies did not purchase enough medications from wholesalers to fill the prescriptions billed to the federal health care programs.

- 2818 JFK Pharmacy LLC agreed to pay \$1,000,000 to resolve allegations that from January 2, 2020, through January 24, 2022, it caused the submission of claims for reimbursement to the Medicare Part D Program and the New Jersey Medicaid Program for drugs that were never dispensed to beneficiaries.
- 518 Summit Care Pharmacy LLC agreed to pay \$600,000 to resolve allegations that from January 2, 2020, through March 28, 2022, it caused the submission of claims for reimbursement to the Medicare Part D Program and the New Jersey Medicaid Program for drugs that were never dispensed to beneficiaries.
- 1850 Greenville Pharmacy LLC agreed to pay \$133,000 to resolve allegations that from January 2, 2020, through April 11, 2022, it caused the submission of claims for reimbursement to the Medicare Part D Program and the New Jersey Medicaid Program for drugs that were never dispensed to beneficiaries.
- 327 Alexandria Pharmacy LLC agreed to pay \$101,000 to resolve allegations that from March 26, 2020, through April 2, 2022, it caused the submission of claims for reimbursement to the Medicare

Part D Program and the New Jersey Medicaid Program for drugs that were never dispensed to beneficiaries.

- 516 Broadway Care Pharmacy LLC agreed to pay \$101,000 to resolve allegations that from January 2, 2020, through April 4, 2022, it caused the submission of claims for reimbursement to the Medicare Part D Program and the New Jersey Medicaid Program for drugs that were never dispensed to beneficiaries.

“All pharmacies that bill federal programs must ensure accurate billing and may not bill for medications they never dispensed. The Office will continue to pursue entities that fail in their essential responsibilities and engage in fraud, waste, or abuse.”

- U.S. Attorney Alina Habba

The resolution obtained in this matter was the result of a coordinated effort between the U.S. Attorney's Office for the District of New Jersey and the Justice Department's Civil Division, Commercial Litigation Branch, Fraud Section.

The government is represented by Assistant U.S. Attorneys Kruti Dharia and Robert Toll of the Health Care Fraud & Opioids Abuse Unit and Senior Trial Counsel Jennifer Cihon in the Civil Division's Commercial Litigation Branch (Fraud Section).

The government's pursuit of these matters illustrates the government's emphasis on combating healthcare fraud. One of the most powerful tools in this effort is the False Claims Act. Tips and complaints from all sources about potential fraud, waste, abuse, and mismanagement can be reported to the Department of Health and Human Services, at 1-800-HHS-TIPS (800-447-8477).

The claims resolved by the settlement are allegations only, and there has been no determination of liability.

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[alexandria.agreement_0.pdf](#) [broadwaycare.agreement.pdf](#) [greenville.agreement.pdf](#) [jfk.agreement.pdf](#)
[summitpharmacy.agreement.pdf](#)

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